

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 760

BY REVENUE AND TAXATION COMMITTEE

AN ACT

RELATING TO PROPERTY TAXES; AMENDING SECTION 63-602GG, IDAHO CODE, TO REVISE PROVISIONS REGARDING PROPERTY TAX EXEMPTIONS FOR LOW-INCOME HOUSING OWNED BY NONPROFIT ORGANIZATIONS; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 63-602GG, Idaho Code, be, and the same is hereby amended to read as follows:

63-602GG. PROPERTY EXEMPT FROM TAXATION -- LOW-INCOME HOUSING OWNED BY NONPROFIT ORGANIZATIONS. (1) As provided in this section, the board of county commissioners may, at its discretion, exempt all or a portion of low-income housing owned by nonprofit organizations ~~shall be exempt~~ from taxation.

(2) In order to qualify as a nonprofit organization under this section, an organization must demonstrate that:

(a) It is organized as a nonprofit corporation pursuant to chapter 30, title 30, Idaho Code, ~~or pursuant to equivalent laws in the applicable state of incorporation; and~~

(b) It has received an exemption from taxation from the internal revenue service pursuant to section 501(c)(3) of the Internal Revenue Code; ~~and.~~

~~(c) No proceeds or tax benefits of the organization or from the low-income housing property owned by the organization shall inure to any individual or for-profit entity other than normal employee compensation.~~

(3) In order to qualify for the exemption provided in this section, the low-income housing property shall meet the ~~following~~ qualifications: provided in this subsection.

~~(a) Both legal and equitable title to the property is solely owned by the nonprofit organization seeking the exemption and is managed by the owner or a related nonprofit organization qualifying for the exemption set forth in section 63-602C, Idaho Code; and~~ The property shall be owned and operated by, or shall be a wholly owned subsidiary of, a qualified nonprofit organization pursuant to subsection (2) of this section, or shall be owned by a limited partnership, limited liability limited partnership, or limited liability company in which a general partner or a managing member, as applicable, is a qualified nonprofit organization pursuant to subsection (2) of this section or a single-purpose entity that is wholly owned by one (1) or more qualified nonprofit organizations pursuant to subsection (2) of this section.

(b) Tenants shall not be evicted based ~~upon~~ on their inability to pay for a period of three (3) months if such inability is due to a catastrophic event that is not under the tenant's control. For purposes

of this subsection, "catastrophic event" means a medical condition or injury in which sudden, serious and unexpected symptoms of illness or injury are sufficiently severe to render the tenant unable to participate in employment and such illness or injury has been certified by one (1) or more licensed physicians and/or psychiatrists or psychologists. The term "catastrophic event" does not apply to individuals who voluntarily remove themselves from the workforce, and.

(c) Except for ~~a the manager's unit units~~, all of the housing units in the low-income housing property ~~are shall be~~ dedicated to low-income housing ~~in the following manner: Fifty-five percent (55%) of the units and shall be rented to those earning an average of sixty percent (60%) or less of the area median gross income for the county in which the housing is located; twenty percent (20%) of the units shall be rented to those earning fifty percent (50%) or less of the median income of the county in which the housing is located; and twenty-five percent (25%) of the units shall be rented to those earning thirty percent (30%) or less of the median income for the county in which the housing is located as determined in a manner consistent with 26 U.S.C. 42 (g), and rents on such housing units shall meet the requirements of 26 U.S.C. 42 (g) (2).~~

(d) In each year following a year in which the exemption was allowed under this section, the owner of a low-income housing property shall submit to the county assessor of the county in which such property is located a statement certifying that the low-income housing property is in compliance with the provisions of paragraph (c) of this subsection. If the owner of such low-income housing property fails to submit the statement required by this paragraph, the low-income housing property shall not be eligible for the exemption provided in this section for the immediately succeeding tax year.

(4) An application for the low-income property tax exemption provided for in this section shall be filed no later than April 15 pursuant to section 63-602, Idaho Code, and shall include, at a minimum, the following information:

(a) A general description of the low-income housing property project, including but not limited to the number of low-income housing units available and the number of units, if any, offered at market rate;

(b) A description of the ownership interest of the applicants and the nonprofit organization partnering with the applicants; and

(c) The duration of the affordability period. For the purposes of this section "affordability period" means the period of time in which the housing units in the low-income housing property are required to comply with the restrictions on tenant eligibility and rent levels set forth in a land use restrictive agreement executed with the Idaho housing and finance association for the purpose of qualifying for the federal low-income housing tax credit pursuant to 26 U.S.C. 42.

(5) (a) In addition to the application required pursuant to subsection (4) of this section, the owner of a proposed low-income housing property project that has not received all required local land use or zoning approvals may request from the county a written preliminary determination as to whether the project, if developed as proposed, will qualify for

1 the exemption authorized by this section. Such request may be submitted
2 prior to filing any land use or zoning application.

3 (b) A request for preliminary determination shall include sufficient
4 information to demonstrate compliance with the requirements of this
5 section, including the information described in subsection (4) (a)
6 through (c) of this section.

7 (c) A written preliminary determination issued pursuant to this sub-
8 section shall be binding on the county, provided the project is devel-
9 oped substantially in accordance with the materials submitted with the
10 request. Any material change to the project, other than modifications
11 required or approved through the applicable local land use approval
12 process, shall require a new request for preliminary determination.

13 (d) A preliminary determination issued pursuant to this subsection
14 shall not relieve the owner of the obligation to file a timely appli-
15 cation pursuant to subsection (4) of this section in order to receive
16 the exemption for any tax year after the low-income housing property
17 project is complete.

18 (6) (a) Nothing in this section shall be construed to require a board of
19 county commissioners to grant a property tax exemption pursuant to this
20 section for low-income housing property.

21 (b) A decision of the board of county commissioners to deny an applica-
22 tion for the exemption provided for in this section shall be final and
23 shall not be subject to judicial review.

24 (c) If at any time the use of the property no longer meets the criteria
25 of the exemption or the affordability period on the low-income housing
26 property changes, the board of county commissioners shall remove the
27 property tax exemption provided for in this section.

28 ~~(4) (7)~~ The exemption provided in this section shall not apply+ to any
29 property on which financing has already closed as of July 1, 2026, or to a
30 property that is already in service and housing tenants as of July 1, 2026,
31 unless such property is being rehabilitated pursuant to 26 U.S.C. 42 or is
32 already receiving the exemption pursuant to this section on or before July 1,
33 2026.

34 ~~(a) If the project is financed after the effective date of this act and~~
35 ~~applicable law permits the payment of property taxes with federal or~~
36 ~~state funds, grants, loans or subsidies; or~~

37 ~~(b) If the property is receiving federal project-based assistance,~~
38 ~~as provided by 42 U.S.C. sections 1437f(d)(2), 1437f(f)(6) and~~
39 ~~1437f(e)(13); or~~

40 ~~(c) To any property used by a taxpayer to qualify for tax credits under~~
41 ~~the provisions of 26 U.S.C. chapter 42 or any successor programs until~~
42 ~~such time as the property is solely owned by a nonprofit organization as~~
43 ~~defined in this section and is no longer utilized to receive federal tax~~
44 ~~credits.~~

45 ~~(5) (8)~~ Notwithstanding any other provision of this section, a low-in-
46 come housing property shall be exempt from taxation due to undue hardship if:

47 (a) The property was financed prior to the effective date of this act;
48 and

49 (b) Such financing was dependent upon the tax-exempt status of the
50 property; and

1 (c) The law does not allow additional federal or state revenues to be
2 available for the payment of property taxes.

3 ~~(6)~~ (9) Nothing in this section shall affect the qualification of prop-
4 erties for tax-exempt status under other provisions of title 63, Idaho Code.

5 (10) Property exempt under this section shall not be included on any new
6 construction roll prepared by the county assessor in accordance with sec-
7 tion 63-301A, Idaho Code, unless the exemption is removed or the property no
8 longer qualifies for the exemption.

9 SECTION 2. An emergency existing therefor, which emergency is hereby
10 declared to exist, this act shall be in full force and effect on and after
11 July 1, 2026.